Marsh Hollow Gardening
Statement of Financial Performance
For the period ended 31 Mar 2026

	2026 $
Income	
Sales	2,626
Interest received	4
Income not yet sorted	330
Total income	2,960
Cost of sales	
Purchases and materials	346
Gross profit	**2,614**
Expenses	
Insurance	187
Rent	39
Phone and internet	18
Power and gas	26
Freight and courier	119
Stationery and office supplies	66
Software and subscriptions	43
Small tools and equipment	104
Total expenses	602
Net profit for the year	**2,012**

Marsh Hollow Gardening
Statement of Financial Position
For the period ended 31 Mar 2026

	2026 $
Assets	
Current assets	
Bank accounts	6,232
GST to claim, records not yet held	28
Total current assets	6,260
Total assets	6,260
Liabilities	
Current liabilities	
GST payable	330
GST refunds received	163
Total current liabilities	493
Total liabilities	493
Net assets	**5,767**
Owner's equity	
Capital introduced	4,550
Net profit for the year	2,012
Drawings	(795)
Closing equity	5,767

Marsh Hollow Gardening
Notes to the financial statements

1. Statement of accounting policies

Basis of preparation
These are special purpose financial statements for Marsh Hollow Gardening, a business owned by one person. They cover the period from 1 August 2025 to 31 March 2026, and were prepared for the owner and to support the owner's income tax return. They are not general purpose financial statements.

Amounts are measured at historical cost.

Goods and services tax (GST)
Marsh Hollow Gardening is registered for GST. Income and expenses are shown excluding GST. GST owed to or by Inland Revenue at 31 March 2026 is included in the Statement of Financial Position.

Depreciation
Fixed assets are shown at cost less accumulated depreciation. Depreciation is charged at these rates:
Tools and equipment: 25% diminishing value
Vehicles: 30% diminishing value

Going concern
These financial statements have been prepared on the basis that Marsh Hollow Gardening will keep trading for the foreseeable future.

Changes in accounting policies
The accounting policies above are the same as those used for the previous period.

2. Income tax
Marsh Hollow Gardening is not taxed separately from its owner. Income tax on its profit is the owner's, so no income tax expense is shown. Income tax paid from the business's accounts is shown in owner's equity.

3. Owner's equity
Owner's equity is the owner's investment in Marsh Hollow Gardening. Capital introduced is money and assets the owner put into the business during the period. Drawings are money and goods the owner took out for personal use.

Money out, not yet sorted, is spending from the business's accounts that hasn't yet been identified as a business expense. It is treated as the owner's until it is.